

Loan Administration RFP — Example Loan Pack

Example 1 — Real Estate (Mezzanine Construction Finance)

Anonymised indicative term sheet with summary. All counterparty identities, individuals and registration numbers have been removed. Commercial mechanics are retained so respondents can model the loan.

Loan Summary

Overview

Loan type: Second-ranking mezzanine construction facility for a residential build-to-sell development. The mezzanine sits behind a senior debt facility and alongside borrower equity, funded on a cost-to-complete basis over the construction period.

Purpose: Funding of the development, completion and sell-down of the project, in conjunction with senior debt and sponsor equity.

Loan structure

Facility limit: ~\$37.7m (defined as investor commitment plus capitalised coupon).

Facility principal: ~\$28.0m, split into two tranches funded by two investors:

- Tranche A — \$26.0m (Investor A): \$25.0m allocated per the agreed project model, plus \$1.0m for coupon servicing.
- Tranche B — \$2.06m (Investor B): allocated to coupon servicing.

Investors: Two lenders (a foreign institutional investor and a domestic investor entity), ranking pari passu unless otherwise stated. Investor B holds the tiered profit-share (exit fee) economics.

Return to investors: Investor coupon of 16.5% p.a. on the outstanding balance, capitalised monthly in arrears (actual/365). A 2.0% upfront fee is payable to Investor A at financial close. Investor A's 6% p.a. cost of capital is serviced annually from year two, capped at \$3.06m of the capitalised coupon.

Term: 31 months from first utilisation. 30-day availability period (excluding coupon servicing); minimum drawdown \$5.0m, progressive on a cost-to-complete basis against QS-verified progress. Target financial close ~30 April 2026. No prepayment without investor consent.

Repayment & waterfall: Repaid from project sale settlements / refinance. Cash flows follow a waterfall: sales/project costs and GST, then senior debt, then any cost-overrun funding, then facility principal (pro rata to both investors), then capitalised coupon (pro rata), then borrower equity, then tiered exit fees / profit share to Investor B and the sponsor. Exit fees accrue as a debt to Investor B, due at maturity.

Security

- Second-ranking real estate mortgage over the project.
- General security agreement over all borrower assets (including bank accounts).
- Charge over 100% of shares/units in the borrower.
- Intercreditor deed with the senior debt provider; multi-party deed over the construction contract.
- Cost-overrun guarantee of 10% of total development cost from guarantors.
- Guarantee of repayment of the facility commitment and investor coupon; subordination of intra-group and other junior debt.
- Guarantors to maintain minimum net assets of \$15m, tested six-monthly (qualifying assets = cash and liquid Australian real estate, independently valued).

Key financial covenants

- LVR (construction): senior + facility limit not to exceed 89.4% of "as if complete" value (net of GST and selling costs).
- LTC: senior + facility limit not to exceed 92.7% of total development cost (incl. senior finance costs).
- Residual LVR (RLVR): not to exceed 86%, calculated as $(\text{aggregate debt} - \text{QPS}) / (\text{NRV} - \text{QPS})$.

Plus customary negative covenants, project undertakings requiring investor consent for structural / design / pricing / contract changes, customary events of default and monthly PCG, sales and information reporting.

Barrenjoey's role in the transaction

Barrenjoey (B*) is the arranger and manager of the facility, not the principal lender — the two investors are the lenders of record. B* originated and structured the deal, arranges the financing under the facility and manages it through its life (drawdowns against QS-verified cost-to-complete, covenant monitoring, waterfall administration and reporting to investors).

B* is remunerated by the investors via (economically): a 1.25% origination fee, a 0.50% p.a. base management fee on drawn funds, and a 20% performance fee over a 16% p.a. IRR hurdle.

For loan administration purposes: B* (as manager) is the link to the Borrower and the instructing party to the administrator, and manages the process end to end; the loan is held on behalf of the investors. Under B*'s instruction, the administrator would service capitalised-coupon accruals, tranche-level accounting, drawdown processing, covenant data capture and the multi-tier exit-fee / waterfall calculation.

Other important points

- Offered in compliance with s128F Income Tax Assessment Act 1936 (public offer); tax gross-up with customary exceptions.
- Presales condition: \$46.5m gross qualifying presales, aligned to senior facility drawing conditions.
- Cost overruns funded jointly and severally by the obligors; investor may (but need not) fund overruns at facility IRR + 5% margin.
- Governing law: an Australian State/Territory [redacted]. Indicative and non-binding except for specified binding provisions (reimbursement, governing law, conflicts, exclusivity, GST, confidentiality).

Anonymised Indicative Term Sheet

Mezzanine Finance Facility — Residential Build-to-Sell Development

Indicative, non-binding term sheet. All party names, individuals and registration numbers removed. Other than the Binding Provisions (Reimbursement, Governing Law, Barrenjoey Conflicts, Counterparts, Exclusivity, Execution, GST and Confidentiality), this term sheet is a non-binding expression of interest only and is subject to definitive documentation, approvals and due diligence.

Funding	Mezzanine finance for the Permitted Purpose (the "Facility").
Permitted Purpose	Funding of the Project, alongside Borrower Equity and Senior Debt financing on a cost-to-complete basis.
Property	A residential development site. [Address and title details redacted.]
Project	The development, completion and operation of the Property — a residential build-to-sell project.
Investor(s)	Investor A: a foreign institutional investor entity. [Name redacted.] Investor B: a domestic investor entity. [Name and registration redacted.] <i>(Collectively, the "Investor(s)"). The Investors rank pari passu in all rights unless otherwise stated.</i>
Barrenjoey (B*)	Barrenjoey Private Capital — arranger and manager of the Facility (acting through the relevant AFSL-authorised entity). [Corporate and licence numbers omitted.]
Borrower / Project Co	100% direct owner of the Property. [Name and ACN redacted.]
Security	Customary for a transaction of this nature.
Sponsor(s)	The project sponsor, or an entity otherwise agreed by the parties. [Name and ACN redacted.]
Guarantors	A corporate guarantor and individual guarantor(s) of substance. [Names and ACN redacted.] Guarantors to maintain minimum net assets of \$15m throughout the term, tested and evidenced to the Investor at Financial Close and six-monthly thereafter.
Minimum Net Asset Position	Qualifying assets comprise cash and reasonably liquid Australian real estate (independently valued). Qualifying assets to be approved by the Investor at Financial Close and at any point of substitution.
Obligors	Sponsor, Borrower and each Guarantor.
Facility Limit	[\$37,700,000].
Facility Principal	[\$28,000,000], comprising: • a) Tranche A of \$26,000,000 payable by Investor A: (i) \$[25,000,000] allocated per the Agreed Project Model; and (ii) \$[1,000,000] allocated as Coupon Servicing; and • b) Tranche B of \$[2,060,000] payable by Investor B, allocated as Coupon Servicing.
Borrower Equity Requirement	[\$12,682,026].
Currency	Australian Dollars.

Use of Proceeds	The Facility Principal is to be applied toward the Project in accordance with the Agreed Project Model.
Availability Period	From the date of the facility agreement, ending 30 days thereafter (excluding Coupon Servicing).
Utilisation	● Minimum drawdown of \$5,000,000 during the Availability Period, progressively on a cost-to-complete basis (excluding Coupon Servicing). ● Utilisations subject to Financial Close and each Condition Precedent. ● Utilisation requests supported by documentary evidence of expenditure and verified with QS progress reporting.
Financial Close	Target drawdown 30 April 2026, or the date each Condition Precedent is satisfied or waived by the Investor.
Term	31 months from the first utilisation date.
Facility Conditions Precedent	Customary for a transaction of this nature.
Due Diligence	Customary for a transaction of this nature.
Qualifying Presales	Customary for a transaction of this nature.
Upfront Fee	2.0% of the Facility Limit at the date of the facility agreement, payable to Investor A on the earlier of Financial Close (paid from utilisation proceeds) and the last day of the availability period of the initial advance.
Capitalised Coupon	Investor Coupon of 16.5% per annum on the outstanding balance, capitalised monthly in arrears, calculated on an actual/365 day count, payable prorated to the Investors.
Coupon Servicing	After 12 months from first utilisation, Investor A's cost of capital (6% p.a., accrued monthly in arrears) is serviced annually, paid two weeks prior to each Facility anniversary from the Facility Principal, capped at \$[3,060,000] of the total Capitalised Coupon.
Cost Overruns	Obligors jointly and severally responsible for funding cost overruns in excess of the Agreed Project Model.
Cost Overrun Funding	Where Obligors fail to fund an overrun, Investor A may (but need not) fund it. Cost Overrun Funding accrues interest at the same IRR as the Facility (per the Agreed Project Feasibility) plus a 5% p.a. margin applied to the overrun portion only.
Internal Rate of Return	The AUD annualised discount rate, monthly-compounding, which applied to the Facility's inflows and outflows produces a zero NPV. Measured pre-tax on a cash basis after all costs, expenses and fees payable by the Investors.
Waterfall of Payments	All cash proceeds from the Project (sales revenue, refunds/rebates of capital contributions, and capital proceeds from refinance of Senior Debt or a sale) distributed as follows: ● i. Sales / project costs, incentives and GST payments. ● ii. Interest, fees, costs or capital on the Senior Debt. ● iii. Repayment of any Cost Overrun Funding (incl. default interest). ● iv. Principal of the Facility, prorated to Investor A and Investor B. ● v. Capitalised Coupon, prorated to Investor A and Investor B.

	● vi. Borrower Equity capital. ● vii. Exit Fees to Investor B (balance not paid out as profit distributions to the Borrower): ○ a) Tier 1: 20% of surplus proceeds until Investor B has received a 20% IRR (incl. amounts under (iv), (v), (vii)(a)). ○ b) Tier 2: after a 20% IRR, 22.5% of surplus proceeds until Investor B has received a 30% IRR. ○ c) Tier 3: 20% of surplus proceeds thereafter, paid as an Exit Fee to the Borrower. <i>Exit Fees accrue as a debt owed to Investor B, due and payable at maturity of the Facility.</i>
Estimated Mezzanine Returns	An indicative project cash-flow waterfall at exit was provided (net revenue, senior debt repayment, cash available for mezzanine/equity, mezzanine principal and coupon repayment across Tranches A & B, sponsor equity, then Tier 1 and Tier 2 profit-share). Figures indicative and subject to change. [Detailed model figures omitted from anonymised pack.]
Covenants	● LVR (Construction): senior debt limit + Facility Limit (investor commitment + investor coupon) not to exceed 89.4% of the Project's "as if complete" value (net of GST and selling costs). ● LTC: senior debt + Facility Limit not to exceed 92.7% of total development cost (incl. senior finance costs) per the Agreed Project Model. ● RLVR: not to exceed 86%. RLVR at Financial Close = (Aggregate Debt – QPS) / (NRV – QPS), where Aggregate Debt = senior debt limit + Facility Limit; QPS = qualifying presale amount; NRV = net realisation value (net of GST and selling costs) of at least \$187.5m.
Negative Covenants	Customary negative covenants (further indebtedness, security interests, equity issuances, distributions, redemptions, change of shareholding/control, acquisitions, disposals, capex, repayment of related-party/intra-group debt, related-party transactions), subject to customary thresholds, grace periods and exceptions.
Project Undertakings	Customary for a transaction of this nature.
Events of Default	Customary events of default for a facility of this nature.
Information Requirements	Customary, including: ● Annual financial statements for Borrower, Obligors and Contractor. ● Monthly Project Control Group reports, agenda and minutes (with observer rights). ● Monthly sales reports; quarterly unaudited financial statements. ● Notification of material litigation or termination of any customer agreement/lease. ● Annual compliance certificates signed by a Borrower director. ● Information received under senior-debt information rights and copies provided to any senior financier.
Repayment	● Repaid from settlement of Project sales and/or refinance of the Project, insurance proceeds, hedging proceeds, etc. ● Immediately repayable in full on an Event of Default [or Review Event] where the Investor elects to accelerate. ● Customary illegality provisions apply.
Prepayment	No prepayment without the consent of the Investor.

Exclusivity	From signing, the Obligors and each Investor work solely and exclusively with Barrenjoey. Exclusivity ceases on the earlier of (1) completion of the Public Offer with confirmed commitments, and (2) 12 weeks post-signing.
Reimbursement	Borrower and Sponsor reimburse Barrenjoey and each Investor for out-of-pocket fees and expenses (incl. GST) for due diligence, documentation and implementation (valuations, legal, tax and other advisers), subject to a pre-approved minimum budget of \$60,000 plus GST. Payable within 10 business days of invoice, whether or not documentation is executed.
Tax Gross Up	All Obligor payments free and clear of taxes/withholding unless required by law; if a tax deduction is required, the Obligor grosses up so the Investor receives the full amount. Facility offered in compliance with s128F of the Income Tax Assessment Act 1936 (Cth) (Public Offer); customary APLMA public-offer provisions apply; gross-up subject to customary exceptions.
Confidentiality	Term Sheet for the exclusive use of the Borrower; not to be disclosed except (a) as required by law/regulation, (b) to the Borrower's legal and financial advisers on a need-to-know basis, or (c) with prior written consent of the Investor and Barrenjoey. Information may be shared with prospective Investors under the Public Offer for their own due diligence. Any prior confidentiality agreement continues to apply, subject to these provisions.
Governing Law	An Australian State/Territory. [Specific jurisdiction redacted for anonymisation.]
Arranger and Manager Fees	Charged by the Arranger and Manager to the Investor(s) acting as lender, subject to tax and legal review and definitive terms, economically equivalent to: ● Origination fee of 1.250% of the Facility Limit, payable by Investor A on first Financial Close, from the proceeds of the Upfront Fee. ● Base management fee of 0.50% p.a. on drawn funds, payable out of Capitalised Coupon received by the Investors and Exit Fee received by Investor B. ● Performance fee of 20.00% over a 16.00% p.a. IRR (pre-tax, post-fees excl. performance fee), payable by Investor B on full exit.
Barrenjoey Conflicts	Sponsor and Investor acknowledge Barrenjoey and its related parties engage in a range of commercial activities from which conflicting interests may arise, may earn fees in connection with the transaction, and may perform advisory and management services for itself and third parties (including the Investor).
GST	All fees exclusive of GST. If GST applies to a supply, the recipient grosses up the supplier and a valid tax invoice is provided. Standard indirect-tax clauses apply.
Counterparts	May be executed in counterparts, together constituting one instrument.
Execution	By signing, the parties acknowledge the Binding Provisions are legally binding and agree to discuss the Proposed Transaction on the indicative non-binding terms above. [Signature blocks and executed signatures removed.]

End of anonymised term sheet. Figures shown in square brackets are as stated in the original indicative term sheet.